

CRYPTO PROJECT RESEARCH REPORT

AERODROME FINANCE

(\$AERO)

Deep-Dive Analysis · August 2026 · NBZ / NASIR

\$403.15M	\$809.81M	\$2.330	#83	1.95B
Market Cap	FDV	All-Time High	CMC Rank	Total Supply

A comprehensive, independently researched analysis of Aerodrome Finance (\$AERO) covering Team, Technology, Tokenomics, Market Overview, Use Cases, Competitors, Recent News & Investment Risk Assessment — sourced from verified and up-to-date public data.

Research by NBZ / NASIR

01 · PROJECT OVERVIEW

FIELD	DETAIL
Project Name	Aerodrome Finance → Aero (rebranded Nov 2025)
Token Ticker	\$AERO
Blockchain Layer	Base Network — Ethereum Layer 2 (L2)
Built On	Base (Coinbase's Ethereum L2 using OP Stack / Optimistic Rollups)
Protocol Type	Decentralised AMM DEX + Liquidity Hub — ve(3,3) tokenomics model
Developer	Dromos Labs — same team behind Velodrome Finance on Optimism
Launched	August 28, 2023 — first major native DEX on Base network
Headquarters	Decentralised — Dromos Labs is the principal development organisation
Investor	Base Ecosystem Fund (Coinbase Ventures) — Feb 26, 2024 (undisclosed amount)
Website	aerodrome.finance · @AerodromeFi on X
Total Supply	1,950,000,000 AERO (1.95B — inflationary via weekly emissions)
Circulating Supply	973.09M AERO (~49.9% of total — August 2026)
Max Supply	No hard cap — emissions continue with decay rate
Cumulative Volume	\$200B+ all-time trading volume (June 2026)
Cumulative Fees	\$520M+ in fees generated since launch, distributed entirely to veAERO holders
Market Position	#1 DEX on Base by volume — 60%+ DEX volume share on Base network
Key Upgrade	Aero / MetaDEX03 — merger with Velodrome into unified cross-chain DEX (2026)

Aerodrome Finance is the dominant decentralised exchange on Base — Coinbase's Ethereum Layer 2 network. Launched on August 28, 2023, it was designed from the outset to be the central liquidity hub for the Base ecosystem, filling the same role that Velodrome Finance occupies on Optimism. Both protocols are built by the same team at Dromos Labs, sharing the same underlying ve(3,3) tokenomics architecture — a design that combines Curve Finance's vote-escrow model with Olympus DAO's (3,3) game theory to align long-term incentives across traders, liquidity providers, and governance participants.

In just three years since launch, Aerodrome has processed over \$200 billion in cumulative trading volume and generated over \$520 million in fees — all distributed directly to veAERO holders rather than a protocol treasury. This radical 100% fee pass-through model makes AERO one of the most yield-bearing governance tokens in all of DeFi. As of 2026, Aerodrome captures over 60% of all DEX volume on Base, making it the undisputed liquidity backbone of the Coinbase-backed L2 ecosystem.

In November 2025, Dromos Labs announced a landmark merger: Aerodrome (on Base) and Velodrome (on Optimism) would unify into a single protocol called Aero, running on MetaDEX03 infrastructure. This creates a cross-chain liquidity hub targeting Ethereum mainnet expansion in Q2 2026, with the combined \$500M+ TVL positioned to compete directly with Uniswap and Curve at scale.

02 · TEAM & FOUNDERS

NAME	ROLE	BACKGROUND
Alexander Cutler	Co-Founder & CEO	Co-founder of both Aerodrome and Velodrome Finance. CEO of Dromos Labs — the principal development organisation. Active on X and LinkedIn. Leads overall strategy, product vision, and ecosystem development for the Aero unified platform.
Tao Watts	Co-Founder & Exec. Dir.	Co-founder and Executive Director. Core contributor to Velodrome V2 on Optimism before launching Aerodrome on Base. Active on X. Key figure in the ve(3,3) DEX design and Superchain liquidity strategy.
David Annis	COO	Chief Operating Officer and contributor. Active on X and LinkedIn. Manages operational infrastructure, partnerships, and day-to-day protocol coordination at Dromos Labs.
Dan Wick	CFO	Chief Financial Officer and contributor. Active on X and LinkedIn. Leads financial strategy, treasury management, and investor relations for the protocol.
Jim Petrilă	CLO	Chief Legal Officer and contributor. Active on X and LinkedIn. Manages legal compliance, regulatory strategy, and risk frameworks across Aerodrome's jurisdictions.
Stas Sułcov	CTO	Chief Technology Officer and contributor. GitHub-active. Principal engineer overseeing smart contract architecture, Slipstream concentrated liquidity, MetaDEX03 development, and Flashblocks integration.

Aerodrome Finance is built by one of the most experienced DEX teams in DeFi. The co-founders Alexander Cutler and Tao Watts first built Velodrome Finance — which became the dominant DEX on Optimism — before replicating and improving that model for Base. This is not a team launching their first protocol: they have already built, scaled, and sustained a top-tier DEX through multiple market cycles on a different L2 network.

The six-person C-suite structure — CEO, COO, CFO, CLO, CTO, plus the Executive Director — is unusually complete for a DeFi protocol. Having a Chief Legal Officer signals proactive regulatory thinking, a CFO signals institutional financial management, and a dedicated CTO signals serious technical ambition. All six are publicly identified with active social profiles, LinkedIn presence, and verifiable contribution histories. Dromos Labs is as professionally structured as any Web3 team operating today.

03 · TECHNOLOGY & ARCHITECTURE

COMPONENT	DESCRIPTION
Blockchain	Base Network — Ethereum L2 (OP Stack, Optimistic Rollups); EVM-compatible; Coinbase-backed
Built On	Ethereum ecosystem via Base L2; shares Optimism Superchain architecture
Core Design	ve(3,3) AMM — combines Curve's vote-escrow + Olympus' (3,3) game theory for aligned incentives
AMM Types	vAMM (volatile pairs, 0.30% fee) · sAMM (stable pairs, 0.05% fee) · Slipstream (concentrated liquidity)
Slipstream	Concentrated liquidity pools (Uniswap V3-style) with gauge-based emission routing — capital efficiency amplified
ve(3,3) Mechanism	Lock AERO → receive veAERO NFT → vote on emissions → earn 100% of protocol fees. Lock up to 4 years.
veAERO NFT	Non-transferable voting NFT. Voting power decays linearly until unlock. No early exit once locked.
Epochs	7-day governance cycles. Voters allocate veAERO to pools each epoch to direct AERO emissions.
Gauge System	Each liquidity pool has a gauge. Pools with more votes receive more AERO emissions for LPs.
Bribe Market	External protocols pay veAERO voters 'bribes' to attract votes (and therefore liquidity) to their pools.
Fee Model	100% of trading fees routed to veAERO voters who voted for that pool — zero protocol treasury cut
Emission Rate	~10.9% annualised AERO emission rate (April 2026); decays weekly by protocol schedule
Flashblocks	Base L2 upgrade integrated: 10x latency reduction — near-instant confirmations, lower slippage
MetaDEX03	Next-gen architecture (Aero merger): dual-engine design, MEV internalization, cross-chain settlement
Predictive Allocation	July 2026: real-time liquidity incentive allocation based on predicted future pool demand — replaces weekly voting
Ignition Launchpad	Token launch platform on Aerodrome — new protocols list tokens and attract liquidity via the gauge system
Smart Contracts	Solidity — EVM-compatible; audited; open source on GitHub
Oracle Integration	On-chain price data via Base's oracle infrastructure; integrated with Circle's Arc stablecoin framework

Aerodrome's technical foundation is the ve(3,3) model — a liquidity incentive architecture that creates a self-reinforcing flywheel. The loop works as follows: AERO holders lock their tokens for up to four years to receive veAERO NFTs. Each epoch (seven days), veAERO holders vote to direct AERO emissions toward specific liquidity pools. Pools with more votes attract more emissions, which attract more LPs, which creates deeper liquidity, which generates more trading volume, which produces more fees — which are distributed entirely back to the veAERO voters who directed that liquidity in the first place.

Slipstream is Aerodrome's concentrated liquidity layer — equivalent to Uniswap V3's tick-based pools but fully integrated with the ve(3,3) gauge system. This means concentrated LP positions can now earn AERO emissions as well as trading fees, creating a capital efficiency advantage that standard AMMs cannot match. The Flashblocks integration — delivering 10x latency reduction on Base — further amplifies Aerodrome's execution quality, enabling near-instant confirmations that reduce slippage for large trades.

The MetaDEX03 architecture powering the Aero merger introduces a dual-engine design that routes all protocol revenue back to users, internalises MEV (Maximal Extractable Value) as a new revenue stream rather than letting it leak to external bots, and positions the unified Aero platform as a modular settlement layer across the entire Ethereum Superchain. The July 2026 Predictive Allocation upgrade takes this further — replacing weekly static gauge voting with a real-time demand forecasting system that dynamically allocates incentives to where liquidity is most needed.

04 · USE CASES & REAL-WORLD APPLICATIONS

USE CASE	DESCRIPTION	STATUS
Token Swapping	Swap 180+ tokens on Base with low slippage via vAMM, sAMM, and Slipstream pools	Live
Liquidity Provision	Deposit token pairs into pools; stake LP tokens in gauges; earn weekly AERO emissions + trading fees	Live
AERO Locking (veAERO)	Lock AERO up to 4 years for veAERO NFT — earn 100% of protocol fees + governance rights	Live
Governance Voting	veAERO holders vote each epoch to direct AERO emissions to pools of their choice	Live
Bribe Market	External protocols pay veAERO voters to attract votes — additional yield beyond trading fees	Live
Concentrated Liquidity (Slipstream)	Uniswap V3-style tick-based LP positions with gauge emission eligibility	Live
Token Launches (Ignition)	New protocols list tokens on Aerodrome and attract liquidity via the competitive gauge system	Live
Predictive Allocation	Real-time incentive allocation based on predicted future pool demand — replaces static weekly votes	Live — Jul 2026
Protocol Buybacks	Programmatic AERO buyback and max-lock mechanism — reduces circulating supply, strengthens veAERO	Live
MEV Internalization	MetaDEX03 captures MEV as protocol revenue rather than leaking to external bots	Live — Aero upgrade
Cross-Chain Liquidity (Aero)	Unified Aero platform merging Base + Optimism liquidity; targeting Ethereum mainnet expansion	2026 Roadmap
Circle Arc Integration	Native integration with Circle's Arc stablecoin framework for institutional-grade stablecoin liquidity	Live / Expanding
Ethereum Mainnet Expansion	Aero unified platform expanding to Ethereum L1 in Q2 2026 to compete with Uniswap and Curve directly	Q2 2026 Roadmap

Aerodrome's use case universe is built around the concept of a liquidity marketplace — not just a DEX where users swap tokens, but a competitive ecosystem where protocols, LPs, and token holders interact to determine where liquidity flows. The bribe market is the most innovative element: new protocols launching on Base can pay veAERO voters to direct AERO emissions toward their pools, essentially purchasing bootstrapped liquidity in a transparent, on-chain marketplace. This mechanism has generated tens of millions in bribe revenue for veAERO holders beyond their base fee share.

The Ignition launchpad extends this further — enabling token launches to directly plug into Aerodrome's liquidity incentive system from day one. The SYND project generated approximately \$14M in single-week bribe spend during its Ignition launch, demonstrating real demand for this bootstrapped liquidity mechanism. For new Base protocols, Aerodrome's gauge system is the most efficient path to deep liquidity without requiring their own market making infrastructure.

05 · COMMUNITY & ECOSYSTEM

METRIC	DATA
X (Twitter)	@AerodromeFi — active official account; protocol updates, governance, ecosystem announcements
Market Share	60%+ of total DEX volume on Base network (dominant position since 2023)
All-Time Volume	\$200B+ cumulative trading volume since August 2023 launch
Cumulative Fees	\$520M+ in fees generated — 100% distributed to veAERO holders (June 2026)
Cumulative Revenue	\$450M+ total revenue distributed to token operators (April 2026)
TVL	\$240M–\$1.3B range (varies by source/timeframe) — consistently #1 DEX on Base
veAERO Lock Rate	~50% of AERO supply locked as veAERO (multi-year average duration)
Monthly Volume (Peak)	\$21.85B in 30-day volume (July 23–Aug 22, 2025 per DeFiLlama)
Weekly Fees (Peak)	~\$4.6M weekly fees (August 2025) — outpacing Curve and PancakeSwap
Annual Revenue	~\$48.5M annualised revenue (DeFiLlama, 2026)
veAERO Yield (2025)	Position of 10,000 veAERO voted at average efficiency earned ~\$2,470 in 2025
Base Ecosystem Partner	Coinbase Ventures (Base Ecosystem Fund) — strategic investment Feb 2024
Exchange Listings	Binance · Uniswap V3 · Gate.io · Kraken · KuCoin · Backpack · BingX · Hotcoin · Bitunix
Monitoring Tools	Aeroboard.app · DeFiLlama · Blockworks Research dashboard
Notable Launches	SYND (\$14M single-week bribe spend) — largest Ignition launchpad event to date

Aerodrome's community is uniquely structured compared to most DeFi protocols: rather than a speculative holder base, the core constituency is active governance participants — veAERO voters who make weekly decisions about liquidity allocation and earn real protocol revenue for doing so. With approximately 50% of total AERO supply locked as veAERO with multi-year average durations, the community is significantly aligned with long-term protocol health rather than short-term price speculation.

The protocol's relationship with Coinbase and Base creates an ecosystem advantage that no other Base DEX can replicate. Aerodrome is the effectively the 'official' liquidity layer of the Base network — the protocol that Coinbase points developers and projects toward when they need liquidity infrastructure. This implicit endorsement, combined with the Base Ecosystem Fund investment, creates a moat that pure technical competition cannot easily overcome.

06 · INVESTORS & PARTNERSHIPS

ROUND	DATE	AMOUNT	INVESTOR / DETAIL
Strategic	Feb 26, 2024	Undisclosed	Base Ecosystem Fund — Coinbase Ventures' dedicated Base network investment arm. Strategic backing confirming Aerodrome's role as the official liquidity infrastructure of Base.

ENTITY	TYPE	RELATIONSHIP
Base Ecosystem Fund	Strategic Investor	Coinbase Ventures arm investing in Base-native protocols. Undisclosed investment Feb 2024. Creates implicit Coinbase/Base endorsement for Aerodrome.
Coinbase / Base	Ecosystem Partner	Aerodrome is the primary DEX recommended within the Base ecosystem. Coinbase's Base network is Aerodrome's host chain — its success is tied to Base's growth.
Velodrome Finance	Sister Protocol	Same Dromos Labs team. Velodrome is the dominant DEX on Optimism. Merger into Aero combines both protocols' liquidity, TVL, and communities into one unified platform.
Circle	Integration Partner	Circle's Arc stablecoin framework integrates directly with Aerodrome — institutional-grade stablecoin liquidity rails for the Base ecosystem.
Optimism Superchain	Ecosystem Partner	Dromos Labs' Velodrome operates on Optimism; Aero merger bridges Base and Optimism into a unified Superchain liquidity layer.

Aerodrome's investor and partnership structure is lean but extraordinarily strategic. Unlike most DeFi protocols that raise from multiple VC firms, Aerodrome received a single strategic investment from the Base Ecosystem Fund — Coinbase Ventures' dedicated arm for Base-native projects. This investment carries weight far beyond its financial value: it is an explicit endorsement from the company building and marketing Base, signalling to every developer and protocol launching on Base that Aerodrome is the recommended liquidity destination.

The Circle Arc partnership extends Aerodrome's institutional reach. Circle — the issuer of USDC, the dominant stablecoin on Base — integrating its Arc framework with Aerodrome creates a stablecoin liquidity pipeline that competitors on Base cannot easily replicate. USDC is the most traded asset on Base; controlling the deepest USDC liquidity is structurally important for any protocol seeking to be the Base ecosystem's primary trading venue.

07 · TOKENOMICS

PARAMETER	DETAIL
Token Symbol	AERO
Token Standard	ERC-20 — Base Network (Ethereum L2)
Total Supply	1,950,000,000 AERO (1.95B — inflationary; no hard supply cap)
Circulating Supply	973,090,000 AERO (~49.9% of total — August 2026)
Emission Rate	~10.9% annualised (April 2026); decays weekly per protocol schedule
Lock Duration	Up to 4 years to receive maximum veAERO voting power
Lock Rate	~50% of total supply locked as veAERO (multi-year average lock duration)
Fee Distribution	100% of all trading fees routed to veAERO voters — zero protocol treasury cut
Buyback Mechanism	Programmatic AERO buyback and max-lock — 312,000 AERO recently purchased and max-locked
Bribe Revenue	External protocols pay bribes to veAERO voters — additional yield beyond fee share
Token Utility	AERO: LP emission rewards · veAERO: governance voting + 100% fee share + bribe income
Merger Allocation	Aero merger: 94.5% of new unified token allocated to existing AERO holders (revenue-weighted)
Inflation Control	Weekly emission decay rate reduces new AERO supply over time; buybacks offset inflation

ALLOCATION / MECHANISM	% / DETAIL	NOTES
Aerodrome Users (Aero merger)	94.5%	Of new unified Aero token: allocated to AERO holders based on revenue contribution weight
Velodrome Users (Aero merger)	5.5%	Remaining allocation to VELO holders during unified Aero token conversion
Weekly LP Emissions	Variable	Distributed to LPs staking in gauges; allocation determined by veAERO voter votes each epoch
veAERO Fee Distribution	100% of fees	All protocol trading fees forwarded to veAERO holders who voted for that pool in the epoch
Bribe Payments	Variable	Paid by external protocols to veAERO voters; additional yield on top of fee distribution
Protocol Buybacks	Ongoing	Programmatic buyback of AERO from open market; max-locked to strengthen veAERO supply

Aerodrome's tokenomics represent one of the most aggressive value accrual mechanisms in all of DeFi: 100% of trading fees flow directly to veAERO holders, with no protocol treasury taking a cut. This is a deliberate and rare design choice — most DeFi protocols retain 10-50% of fees for operational expenses or treasury. Aerodrome's zero-leak model creates a direct and proportional relationship between protocol usage and token holder returns.

The inflationary emission model is the primary tokenomics risk: new AERO is continuously minted as LP rewards, which could dilute existing holders. However, three mechanisms work to offset this: the weekly decay rate reduces new emissions over time; the ~50% lock rate removes circulating supply for years at a time; and the programmatic buyback programme directly absorbs sell pressure. The Aero merger's 94.5% allocation to existing AERO holders is particularly significant — rather than issuing a new token that dilutes existing holders, Dromos Labs is converting AERO into the unified token with strong existing holder protection.

08 · MARKET OVERVIEW

\$403.15M	\$809.81M	\$13.34M	\$2.330	▼82%
Market Cap	FDV	24h Volume	ATH	Below ATH

METRIC	DATA
Token Symbol	AERO
24h Price Range	\$0.4135 – \$0.4308 (August 2026)
Market Cap	\$403.15M (August 2026 — CoinMarketCap)
Fully Diluted Val.	\$809.81M (based on 1.95B total supply)
24h Trading Volume	\$13.34M (August 2026)
All-Time High	\$2.330 (CoinMarketCap)
All-Time Low	\$0.006423 (CoinMarketCap)
Current vs ATH	~82% below all-time high
Current vs ATL	~6,600% above all-time low
Circulating Supply	973.09M AERO (~49.9% of 1.95B total)
Total Supply	1.95B AERO (inflationary — no hard cap)
CMC Rank	#83 (August 2026)
Market Dominance	0.01%
Key Exchanges	Binance · Uniswap V3 · Gate.io · Kraken · KuCoin · Backpack · BingX · Hotcoin · Bitunix
Performance (24h/7d)	▼1.95% (24h) · ▲+2.55% (7d)
Performance (30d/YTD)	▼22.56% (30d) · ▼11.69% (YTD)

AERO's price history reflects both the extraordinary growth of Base as an ecosystem and the broader altcoin market cycle. The token reached its all-time high of \$2.330 during the peak of the 2024-2025 bull market, when Base was experiencing explosive user growth and Aerodrome was capturing unprecedented DEX volume. At current prices around \$0.42, AERO sits approximately 82% below its ATH — a correction consistent with the broader DeFi market reset in 2025-2026.

What makes AERO's market position distinctive is the disconnect between its price performance and its fundamental metrics. While the token price has corrected, the protocol generated \$520M+ in cumulative fees, processed \$200B+ in volume, and maintains \$240M+ in TVL. The annualised revenue of ~\$48.5M at the current market cap of \$403M implies a Price-to-Fees ratio of approximately 6.5x — which DefiLlama analysis suggests may be undervalued relative to comparable DeFi protocols.

09 · COMPETITORS & MARKET POSITION

PROJECT	TYPE / CHAIN	MKT CAP (APPROX)	VS \$AERO
Uniswap (UNI)	AMM DEX / Multi-chain (Ethereum L1+L2)	\$2.5B+	Largest DEX globally; Uniswap V4 is Aero's primary target on Ethereum mainnet expansion. AERO outperforms UNI on Base specifically.
Curve (CRV)	Stable AMM / Ethereum L1 + multi-chain	\$400M+	Pioneer of ve(3,3) tokenomics model that AERO copied and improved. Curve's model is more complex; AERO's implementation more capital-efficient.
Velodrome (VELO)	AMM DEX / Optimism L2	\$100M+	Sister protocol by same Dromos Labs team. Dominant DEX on Optimism. Being merged INTO Aero in 2026 — not a competitor but a collaborator.
PancakeSwap (CAKE)	AMM DEX / BNB Chain L1 + multi-chain	\$465M+	Multi-chain AMM; broader asset coverage; AERO outpaced PancakeSwap on weekly fees in August 2025 with less TVL.
Balancer (BAL)	Weighted Pool AMM / Ethereum L1+L2	\$100M+	Weighted and stable pool AMM; institutional focus; different liquidity model; lower Base presence than Aerodrome.
Maverick (MAV)	Directional AMM / Ethereum + zkSync	\$50M+	Innovative directional liquidity AMM; limited Base presence; niche compared to Aerodrome's ecosystem dominance.
AERODROME (AERO)	ve(3,3) AMM Hub / Base L2	\$403M	#1 DEX on Base · 60%+ Base DEX volume share · \$520M+ cumulative fees · Coinbase-backed · Aero expanding to Ethereum mainnet

Aerodrome's competitive position on Base is unassailable in the near term: 60%+ DEX volume share, \$520M+ in distributed fees, and an implicit Coinbase endorsement create a moat that no Base-native competitor has been able to breach. The more relevant competitive question is how Aero performs on Ethereum mainnet — where Uniswap's brand recognition, liquidity depth, and V4 hooks architecture present a formidable challenge.

The comparison with Curve is instructive: Aerodrome was built on Curve's ve(3,3) model but has significantly improved it. Aerodrome's 100% fee pass-through (vs Curve's split between veCRV holders, LPs, and treasury) and weekly bribe market create stronger alignment and more active governance participation. Aerodrome's capital efficiency advantage — achieving nearly twice Uniswap's top-pool volume at half the TVL — is the most compelling competitive metric in the protocol's favour.

10 · RECENT NEWS & UPDATES (2023–2026)

DATE	EVENT
Aug 2026	AERO trading at \$0.41–\$0.43 range; market cap \$403M; CMC #83. Protocol annualised revenue ~\$48.5M. 82% below ATH but fundamentally stronger than at any previous price point.
Jul 2026	Predictive Allocation launched — replaces static weekly gauge voting with real-time incentive allocation based on predicted future pool demand. Introduces prediction market dynamics to DeFi liquidity management.
Jun 2026	Cumulative fees surpass \$520M since launch — all distributed to veAERO holders. Cumulative trading volume exceeds \$200B.
Q2 2026	Aero unified platform begins Ethereum mainnet expansion — targeting competition with Uniswap and Curve directly on L1. MetaDEX03 architecture deployed.
Apr 2026	Programmatic buyback: 312,000 AERO purchased from open market and max-locked — contributes to ~50% of supply being locked. DefiLlama reports P/F ratio of 6.5x vs sector, suggesting potential undervaluation.
Feb 2026	Blockworks Research publishes comprehensive Aerodrome data dashboard — protocol ranked 12th globally by revenue. MetaDEX03 / Aero upgrade targeting Q2 2026 launch confirmed.
Nov 13, 2025	MAJOR: Aerodrome and Velodrome merge into Aero. Dromos Labs announces MetaDEX03 dual-engine architecture. Unified AERO token: 94.5% to AERO holders (revenue-weighted). Expansion to Ethereum mainnet and Circle's Arc confirmed.
Aug 2025	30-day trading volume peaks at \$21.85B (July 23–Aug 22). Weekly fees of ~\$4.6M outpace Curve and PancakeSwap despite less TVL. Cumulative volume approaching \$238B.
Apr 2025	TVL surpasses \$1B+ milestone on Base. Aerodrome captures over 60% of all Base DEX volume. Ranked #12 globally by revenue (DefiLlama).
Feb 27, 2024	Base Ecosystem Fund (Coinbase Ventures) makes strategic investment in Aerodrome — undisclosed amount. Official recognition as Base's primary liquidity infrastructure.
2024	Slipstream concentrated liquidity pools launched — Uniswap V3-style tick-based positions with gauge emission eligibility. Capital efficiency significantly amplified.
2024	Flashblocks integration completed — 10x latency reduction on Base; near-instant confirmations; reduced slippage for large orders.
2024	Ignition launchpad launched — token launch platform on Aerodrome. SYND generates \$14M in single-week bribe spend, largest Ignition launch to date.
Aug 28, 2023	Aerodrome Finance launches on Base — first major native DEX on Base network. ve(3,3) tokenomics model deployed. First epoch begins; bribe market opens.
Aug 4, 2023	Aerodrome launch and tokenomics announcement published by Dromos Labs ahead of mainnet deployment.

Aerodrome's news timeline is one of sustained execution: every major development — Slipstream, Flashblocks, Ignition, the Aero merger, Predictive Allocation — represents a genuine protocol upgrade rather than a marketing event. The November 2025 Aero merger announcement is the most strategically significant event in the protocol's history: it transforms Aerodrome from Base's leading DEX into the unified liquidity layer for the entire Ethereum Superchain, with Ethereum mainnet expansion representing a total addressable market increase of orders of magnitude.

11 · INVESTMENT POTENTIAL & RISKS

▲ BULLISH CASE	▼ BEARISH RISKS
+ #1 DEX on Base with 60%+ volume share — structural market dominance not easily displaced	- 82% below ATH with continued selling pressure from ongoing AERO emissions to LPs
+ Coinbase Ventures (Base Ecosystem Fund) backing — implicit endorsement from Base's creator	- No hard supply cap — continuous inflationary emissions dilute non-veAERO holders
+ \$520M+ cumulative fees since launch, all distributed to veAERO — proven real revenue model	- 30-day performance ▼22.56% — current downward price momentum despite strong fundamentals
+ 100% fee pass-through to veAERO — one of DeFi's strongest value accrual mechanisms	- Ethereum mainnet expansion faces Uniswap V4 and Curve — much larger incumbents with deeper brand recognition
+ ~50% of supply locked as veAERO — significant supply reduction improves price stability	- Base ecosystem concentration risk — if Base growth slows, Aerodrome's primary revenue driver weakens
+ Experienced team: same Dromos Labs team built Velodrome (Optimism's dominant DEX)	- Aero merger execution risk — combining two live protocols with different communities is technically complex
+ Aero merger: unified platform targeting Ethereum mainnet — massive TAM expansion	- veAERO lock mechanic has no early exit — locked capital is fully illiquid until expiry
+ 94.5% Aero merger allocation to AERO holders — strong existing holder protection	- Protocol revenue declining from 2025 peak levels as overall DeFi activity compresses
+ P/F ratio ~6.5x suggests potential undervaluation vs comparable DeFi revenue protocols	- Regulatory risk: DeFi AMMs with governance tokens face increasing scrutiny in EU (MiCA) and US
+ Predictive Allocation (Jul 2026) improves capital efficiency — ongoing innovation track record	- Competitive pressure from Uniswap's ongoing Base expansion and V4 hooks architecture

RISK FACTOR	DETAIL
Inflation Risk	AERO has no hard supply cap. Weekly LP emissions continuously add new tokens. While the decay rate and ~50% lock rate partially offset this, non-locked holders face ongoing dilution. The buyback programme helps but does not fully neutralise emission pressure.
Base Concentration	Aerodrome's entire revenue base is tied to Base network adoption. If Base loses developer mindshare to Arbitrum, Optimism, or another L2, Aerodrome's volume and fee revenue decline proportionally. The Aero merger diversifies this risk but does not eliminate it.
Merger Execution	The Aero unification of Aerodrome and Velodrome is the most complex technical undertaking in the protocol's history. Merging two live DeFi protocols with different token holders, pool structures, and governance systems carries significant smart contract and community coordination risk.
Competition Risk	Ethereum mainnet expansion via Aero puts the protocol in direct competition with Uniswap — the most widely used DEX globally. Uniswap V4's hooks architecture enables customisable pool logic that could match or surpass Aerodrome's ve(3,3) model on Ethereum.
Lock-in Risk	veAERO's non-transferable, no-early-exit lock mechanism creates protocol-level illiquidity. In a market downturn, locked participants cannot reduce their AERO exposure. This concentrates selling pressure on unlocked AERO from LP emissions, creating asymmetric volatility.
Regulatory Risk	AMM DEXs with governance token fee distributions may face classification as unregistered securities in certain jurisdictions. MiCA in Europe and evolving US SEC frameworks represent the primary regulatory headwinds for protocols like Aerodrome.

NBZ RESEARCH VERDICT

Aerodrome Finance (\$AERO) is one of the most fundamentally sound DeFi protocols in this research series. The evidence is on-chain and unambiguous: \$520M+ in fees generated and distributed entirely to token holders, \$200B+ in cumulative volume, 60%+ DEX market share on one of Ethereum's fastest-growing L2 networks, Coinbase Ventures backing, and a proven team that has already built and sustained two dominant DEXs across two different L2 networks. The 100% fee pass-through model is rare and valuable — veAERO holders have a direct, proportional claim on every dollar of trading activity that flows through the protocol. The Aero merger with Velodrome is the most significant catalyst in the protocol's history: a unified cross-chain liquidity hub targeting Ethereum mainnet represents a fundamentally larger addressable market than Base alone. If executed successfully, Aero could position itself as the third major DEX infrastructure layer alongside Uniswap and Curve. The primary risks are the inflationary emission model, Base concentration, and Ethereum mainnet competition from Uniswap V4. At 82% below ATH with a P/F ratio of ~6.5x and \$48.5M in annualised revenue, AERO presents a compelling fundamental case for DeFi investors with a 12–24 month horizon. This is not a speculative narrative play — it is a revenue-generating infrastructure protocol trading at a meaningful discount to its operational performance. **Not financial advice.**

Data sourced from: CoinMarketCap, CoinGecko, CryptoRank, DefiLlama, aerodrome.finance, aero.drome.eth.limo/docs, Blockworks Research, DWF Labs Research, BingX Academy, Gate.com Learn, Nansen, Tokenomics.com, CoinDesk, MetaMask Price, CoinStats AI.